Hello.

the Course

Understanding Critical Concepts in marketing

Session 1

Grounding -

- What is marketing
- The Course

Session 2

Critical Concepts

- Needs, wants, Demands
- Consumer vs Customer
- Marketing Environment

Knowing Consumers Better

Session 3

Consumer Behavior

- Neuroscience
- Consumer Buying Behavior – Consumer Bias
- Consumer Funnels

Session 4

Target Consumer

- Segmenting & Targeting
- Pen Profiles
- Understanding Motivations

Session 5

Consumer Insight

- Consumer Insighting



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Customer Value

Session 5

Customer value

- Types of Benefits
- Differentiation
- Positioning

Parameters of Marketing & Go to Market

Session 7

Go to Market 1

- Elements of GTM
- Anchor vs user TG

Session 8

Go to market 2

- Channel & Retail Environment
- Platforms

Growth, Marketing Objectives & How to measure them

Session 9

Drive Growth & Measuring Success

- PITA
- Marketing Objectives
- Brand Health

Session 10

Measuring Success

- Business health
- Digital Funnel & Measurements

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Think of a brand you bought recently

What ”want” was it satisfying?

And

What “need” was it satisfying

Needs, Wants, Demand

Marketing is about creating, communicating and delivering value to consumers!

Foundation of value lies in understanding needs, wants and demands!

Needs — **Basic human requirements**

Wants — **A specific manner of satisfying needs**

Demand — **Want for specific product, backed by the ability to pay**



Needs, Wants, Demand

Needs	Wants	Demand
Food	Pizza	Dominos Leos
Hygiene	Detergent	Tide
Clothing	Active Wear	Nike
Entertainment	Movie	Netflix
Growth	Career	MBA/Mesa
Connection	Friends	Facebook WhatsApp

Exercise 2 – Work in Groups, be ready to Share!



Use this framework, List down Needs, wants and Demands of Aaditya & Shaniram

Needs are basic human requirement!. Wants are influenced by

Wants

Needs shaped by culture, personality, reference groups, access to information, life stage, marketing and branding influence,

Demand

Wants backed by buying power





Exercise 3 – Rapid Fire

Take a piece of paper, keep a pen ready!

1. Who is the consumer?



2. Who is the consumer?



3. Who is the customer?



4. Who are the consumers?



5. Who is the customer?



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Consumers are ones to derive satisfaction and drive future demand

Customers are decision makers to pay!

Marketing Environment

Marketing is dependent on the type of Markets…..

Sellers Market	Production Orientation
Buyers Market	Marketing Orientation
Connected Community	Experience Orientation
Economic Uncertainty	Trust Orientation

Types of Markets
Sellers' Market: Production Orientation

- Seller has ***all the powers*** and consumer will go to the seller to buy the product
- "Better Mouse Trap"- Focus is on ***high quality*** product with little or no focus on what the customer wants….
- Inside Out Marketing
- Objective – Sell as much as you can….***market shares!***
- Resultant increase in volumes, reduced cost and increased profitability



"Any Customer can have a car painted any color that he wants, so long as it is black" - *One of Henry Ford's famous quotes about the Model T*

Types of Markets
Buyers' Market: Marketing Orientation

- Focus on what the customer wants and deliver a product that meets the same.
- Because you are focusing on customer wants….you have to segment & target
- Outside In….
- Objective – Deliver Customer Value and profitability through premium pricing, Customer Loyalty and Cross Sell



“Can I buy shoes of different sizes?”

Types of Markets : Experience Orientation

- Not just the product….but the whole experience that one goes through in buying or consuming the same.

- Deliver not only value… but a top-notch customer experience



“You can only exchange against change in size , but can’t change the pattern”

Types of Markets : Connected Community

- Brands no longer own the narrative, they co-create with consumers – ”Consumer are not just buyers, but are creators and critics”
- Emergence of creators and communities
- Segmentation goes deeper – Tribes, microsegments, identity groups, etc.



Types of Markets: Snapshot

Sellers Market	Buyers Market	Experience Market	Community Market
Production Orientation	*Marketing Orientation*	*Experience Orientation*	*Belonging Orientation*
• Persuade customer to want what the firm has • Generic Products	• Persuade firm to offer what the customer wants • Differentiated Products /	• Manage customer's entire experience with the firm • Experiential Value	• Consumers are Critics and Creators • Personalisation Value
Competitive Advantage			
• Lowest Cost	• Quality & Service • Customer Knowledge	• More than product	• Belonging
Profitability Drivers			
• Market Share	• Customer Share • Customer Loyalty	• Service & Experience • WOM	• Hyper segmentation

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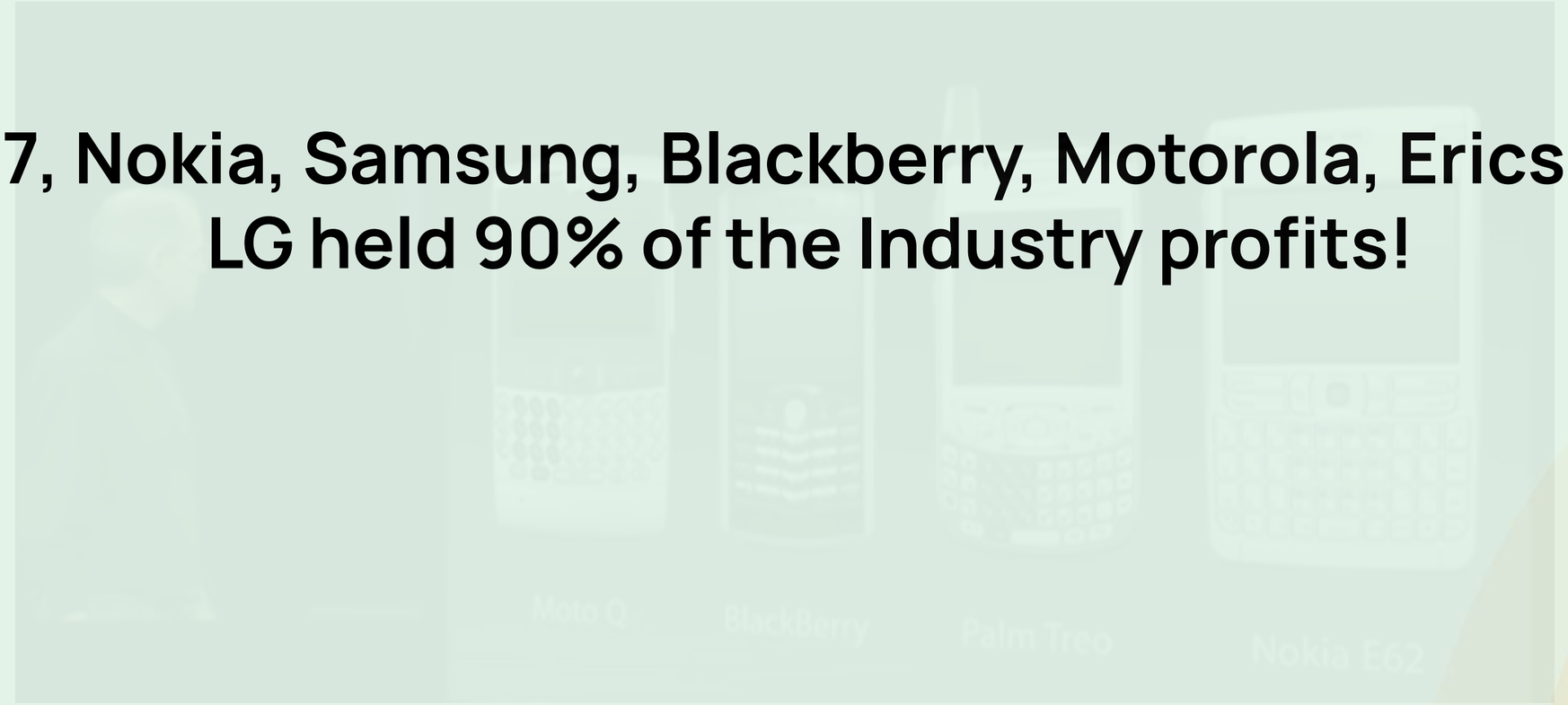


Exercise 4 – What happens next

Write a 3 para note on the next phase of marketing environment and its implications

Post for Everyone to See (before next session)

2007, Nokia, Samsung, Blackberry, Motorola, Ericsson & LG held 90% of the Industry profits!



Traditional Value Chains - Products

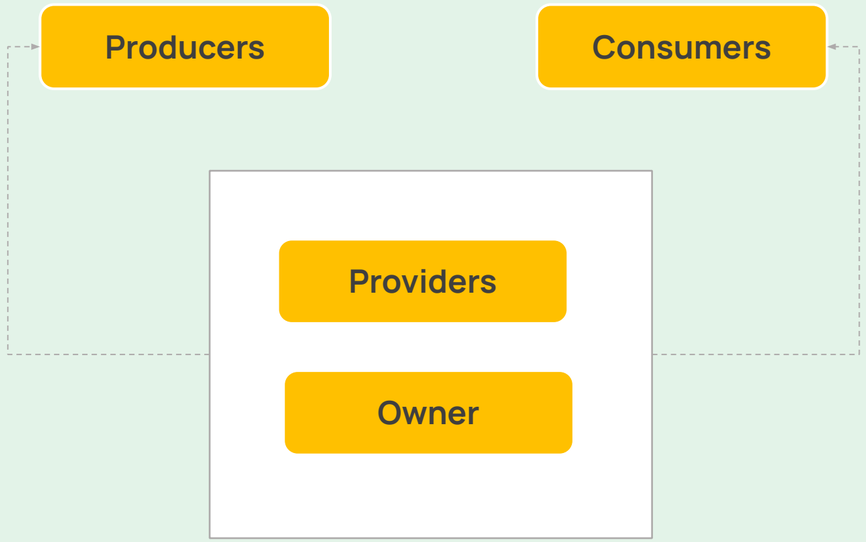
Traditional Pipeline	Ownership/ Outsourced	Data
Product Dev	Owned	Full
Production	Owned/Outsourced	Full
Primary Distribution	Predominantly Outsourced	Full
Secondary Distribution	Outsourced (Middle-Men)	Partly Owned
Retailer	Outsourced (Retailers)	No data
Consumer	Partly Owned (Acquisition. Retention, Loyalty)	No data

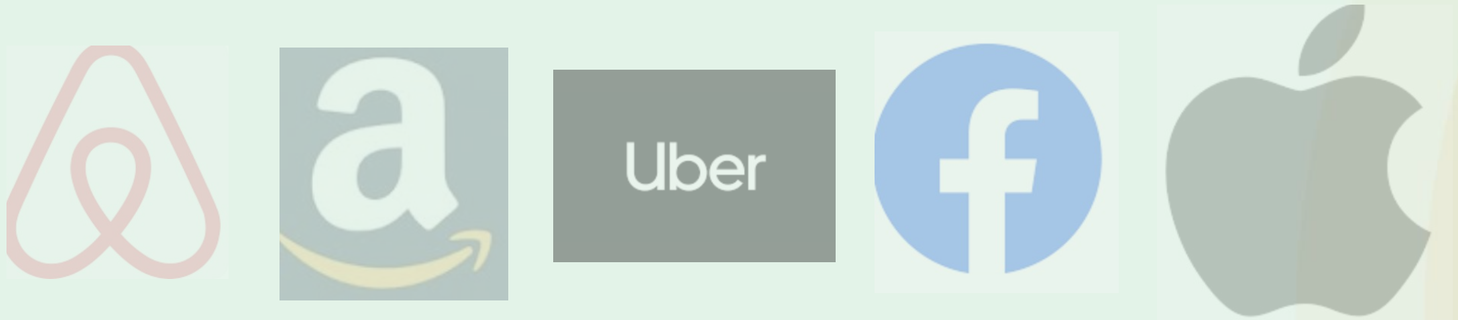
Business -Value chains are getting upended…

Traditional Pipeline

- Product Dev
- Production
- Primary Distribution
- Secondary Distribution
- Retailer
- Consumer

Platforms

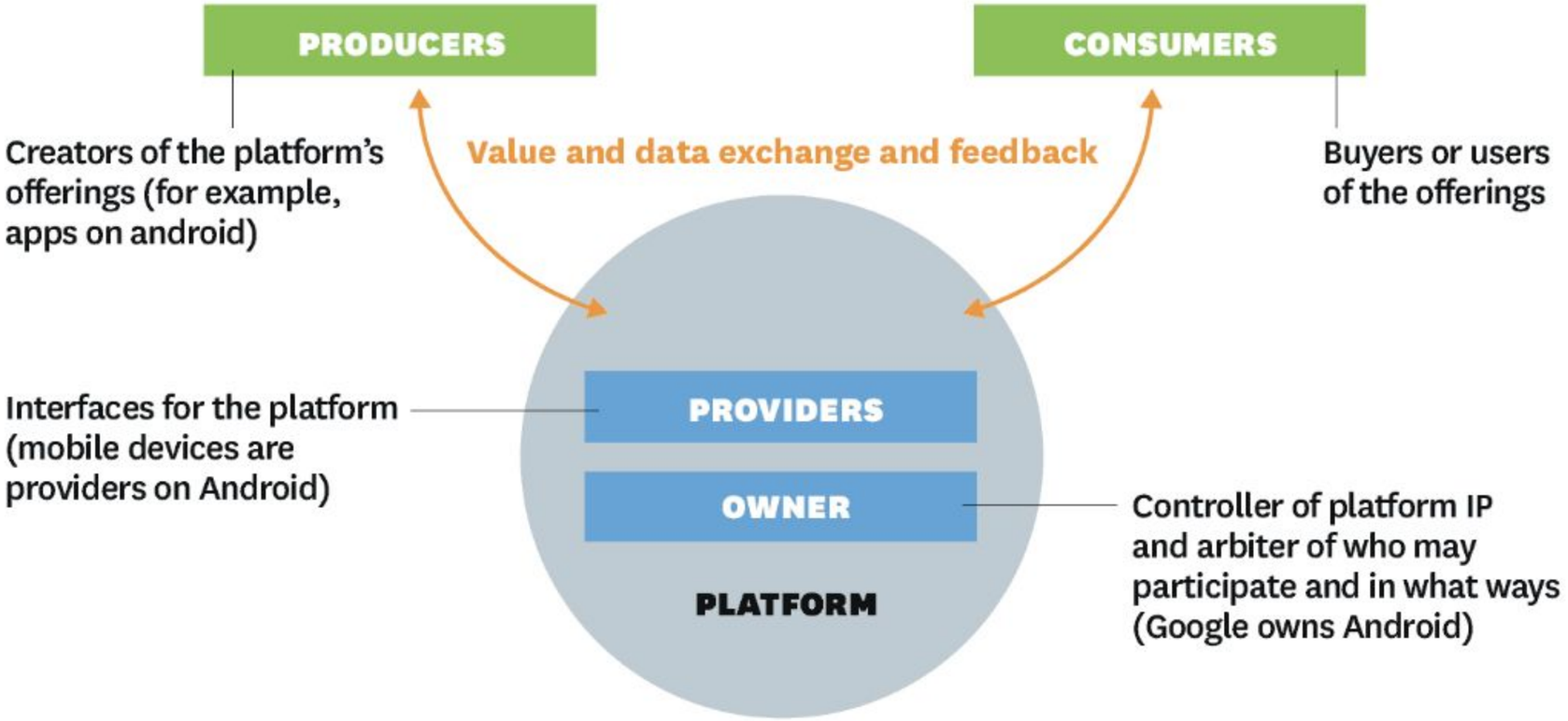




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The Players in a Platform Ecosystem

A platform provides the infrastructure and rules for a marketplace that brings together producers and consumers. The players in the ecosystem fill four main roles but may shift rapidly from one role to another. Understanding the relationships both within and outside the ecosystem is central to platform strategy.



SOURCE MARSHALL W. VAN ALSTYNE, GEOFFREY G. PARKER, AND SANGEET PAUL CHOUDARY
FROM "PIPELINES, PLATFORMS, AND THE NEW RULES OF STRATEGY," APRIL 2016

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Platforms!

Traditional Pipeline	Ownership/ Outsourced	Data
Product Dev	Outsourced	Full
Production	Outsourced	Full
Primary Distribution	**Owned**	Full
Secondary Distribution	**Owned**	**Full**
Retailer	**Owned**	**Full**
Consumer	**Owned/Partly Owned**	**Full**

Prep For Next Session

Read up on Cognitive Biases
(Following slide for reference, See comments also)

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Psychology list many Shortcuts/Heuristics

Confirmation Bias

tendency to listen more often to information that confirms our existing beliefs

Hindsight Bias

tendency to see events, even random ones, as more predictable than they are - the "I knew it" phenomenon

Anchoring Bias

tendency to be overly influenced by the first piece of information that we hear

Misinformation Bias

tendency for memories to be heavily influenced by things that happened after the actual event itself

Actor-Observer Bias

tendency to attribute our actions to external influences and other people's actions to internal ones

False Consensus Effect

tendency people have to overestimate how much other people agree with their own beliefs, behaviors, attitudes, and values

Halo Effect

tendency for an initial impression of a person to positively influence what we think of them overall

Horn Effect

tendency for an initial impression of a person to negatively influence what we think of them overall

Self-Serving Bias

tendency for people tend to give themselves credit for successes but lay the blame for failures on outside causes

Availability Bias

tendency to estimate the probability of something happening based on how many examples readily come to mind

Affinity Bias

tendency to form a deeper connection with someone you share a connection with or share a perceived connection with

Selection Bias

tendency to notice things more when something has happened to make us notice that particular thing more

163 more…